

As of March 1, 2013 a Supplemental Water Supply Fee is assessed on development projects in the City of Indio. The fee provides a framework to alleviate the strain on IWA's groundwater supply and is based on future water demands for new developments. Funds will be used to pursue the development of recycled water for future growth in Indio through indirect potable reuse through injection. The fee varies based upon the development type based upon the annual consumption factor with return flows multiplied by \$5,435 and prorated by the size in acreage of the development type. This is defined in

| Account Description                         | Beginning<br>Fund Balance | FY 13/14         | Ending<br>Fund Balance |
|---------------------------------------------|---------------------------|------------------|------------------------|
| Revenues & Other Sources                    |                           |                  |                        |
| Developer fees                              |                           | 1,055,689        |                        |
| Interest income                             |                           | 458              |                        |
| Reimbursements                              |                           | 0                |                        |
| <b>Total Sources</b>                        |                           | <b>1,056,147</b> |                        |
| Expenditures & Other Uses                   |                           |                  |                        |
| Capital Projects                            |                           | 0                |                        |
| Project Administration/Internal Engineering |                           | 0                |                        |
| <b>Total Uses</b>                           |                           | <b>0</b>         |                        |
| <b>Total Available</b>                      | <b>92,893</b>             | <b>1,056,147</b> | <b>1,149,040</b>       |

|                                   |           |
|-----------------------------------|-----------|
| Five Year Test                    |           |
| Using First In First Out Method   |           |
| Revenues Collected                | 6/30/2014 |
| Revenues Collected from 2010      | 0         |
| Revenues Collected from 2011      | 0         |
| Revenues Collected from 2012      | 0         |
| Revenues Collected from 2013      | 111,776   |
| Revenues Collected from 2014      | 1,056,147 |
| Total Revenue For Last Five Years | 1,167,923 |

Result : Five Year Spent Test Met in accordance with Government Code 66001 as there continues to be a reasonable relationship between the fee and the purpose for which it was adopted.

| Capital Improvement Facilities |          |            |                   |
|--------------------------------|----------|------------|-------------------|
| Capital Improvement Facilities | FY 13/14 | % Complete | % funded with fee |
|                                |          |            |                   |
|                                |          |            |                   |
|                                |          |            |                   |
| <b>Total</b>                   | <b>0</b> |            |                   |